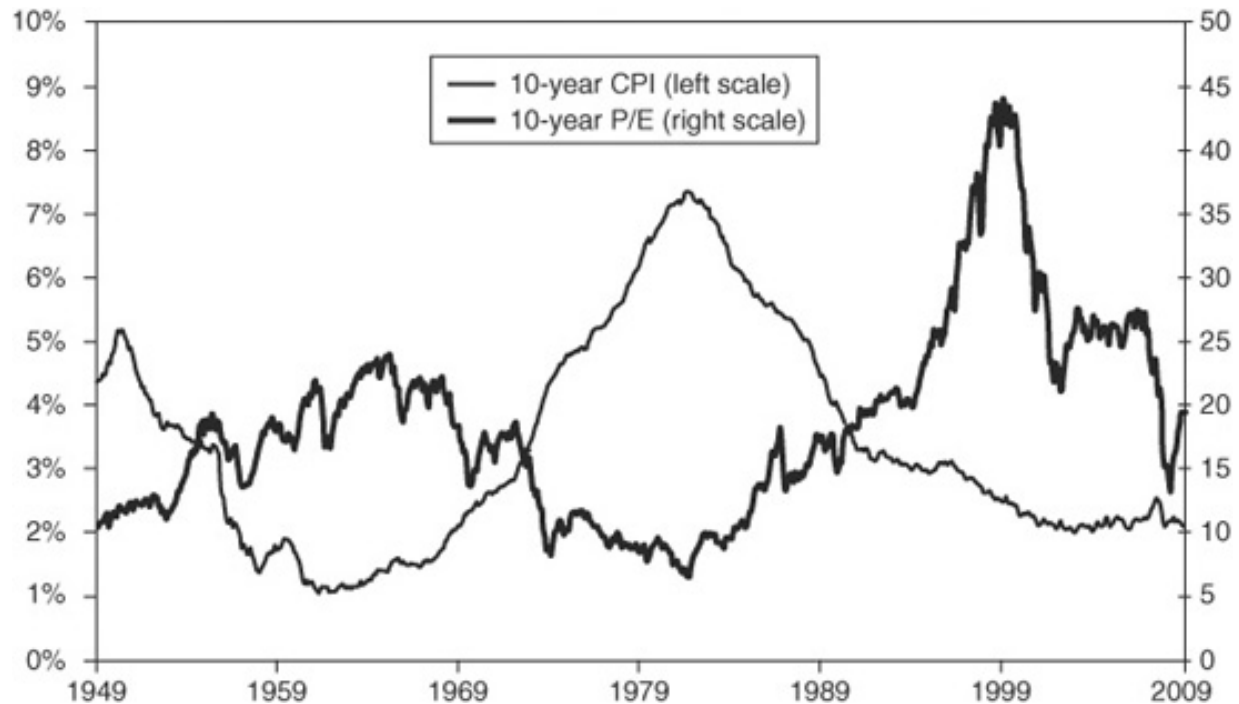


FIGURE 11-10

Price/Earnings Ratio (P/E) using a 10-Year Earnings Average



2. If most investors believe that corporate earnings will increase faster and at a greater rate than the average, then the prices of stocks will increase in anticipation of the higher earnings forecast. The run-up in prices causes the P/E ratio of the market to expand. This is the reason the market kept going higher in the late 1990s. Earnings growth was robust in the late 1990s, and investors believed that this growth would continue as a result of rapid technological advances. When earnings growth did not materialize, the value of the stocks fell to a more normal level.

In the short run, speculation may drive stock prices, but in the long term, earnings growth is the real driver. Speculative moves are not predictable, so there is no sense in trying to put a speculation variable into a long-term forecast. Rather, for the forecasts that follow, it is assumed that the P/E ratio is held constant at the 18 percent level, which is a normal level for a low-inflation period. This constant helps eliminate speculative noise.

FORECASTING FIXED INCOME